EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree. Baggao is considered as first (1st) class municipality in the Province of Cagayan, politically subdivided into forty-eight (48) barangays.

It occupies the second biggest land area in the Province of Cagayan. It lies approximately within 17 deg 55 min 12 sec North latitude and 121 deg 58 min 12 sec East longitude. It is bounded on the east by the Pacific Ocean; on the south by the Municipality of Peñablanca; on the north by the Municipality of Gattaran and on the west by the Municipality of Alcala and Amulung. The Municipality is located approximately 57 kilometers from Tuguegarao City, the commercial center of the Province.

The Municipality has become famous as a hunting ground. Old folks recount that the IBANAGS who frequently hunted in the locale, used to wash their catching in a big mud hole before taking them home which they called "ABBAGAOAN". This "abbaggaoan" an ibanag word, meaning a place to wash, became a noted landmark for hunters from which the name of the Municipality eventually originated.

The Municipality of Baggao derives its mandate from Republic Act No. 7160, also known as the Local Government Code of 1991.

Pursuant to Section 16 of Republic Act No. 7160, also known as the Local Government Code of 1991, the Municipality of Baggao, as a Local Government Unit, shall ensure and support, among other things, the preservation and enrichment of culture, promote health and safety, enhance the right of the people to a balance ecology, encourage and support the development of appropriate and self-reliant scientific and technological capabilities, improve public morals, enhance economic prosperity and social justice, promote full employment among its residents, maintain peace and order, and preserve the comfort and convenience of its inhabitants.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and

regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Condition			
Total Assets	1,290,774,154.07	982,072,784.49	308,701,369.58
Total Liabilities	172,357,648.64	196,804,792.49	(24,447,143.85)
Total Government Equity	1,118,416,505.43	785,267,992.00	333,148,513.43
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	600,802,423.25	417,659,631.01	183,142,792.24
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	394,037,240.17	316,430,551.30	77,606,688.87
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	728,545,835.67	412,538,813.00	316,007,022.67
Appropriations-Continuing	152,483,253.69	221,995,970.61	(69,512,716.92)
Allotments – Current	728,545,835.67	412,538,813.00	316,007,022.67
Allotments –Continuing	152,483,253.69	221,995,970.61	(69,512,716.92)
Obligations – Current	349,653,932.45	282,308,633.37	67,345,299.08
Obligations –Continuing	65,524,243.18	108,729,775.36	(43,205,532.18)
Funds Received from Other Agencies			
NGAs	19,431,500.00	13,190,533.34	6,240,966.66
GOCCs		100,000.00	(100,000.00)
LGUs		65,000.00	(65,000.00)
NGO/POs		-	-
Others		5,339,684.00	(5,339,684.00)
Total	**19,431,500.00**	**18,695,217.34**	736,282.66
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**P -**	**P -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2022 due to the following because these are materially misstated by an aggregate amount of P145,365,136.20 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Baggao disclosed misstatements totaling P145,365,136.20 in absolute value as follows:

No.	Account	Asset	Liability	Revenue/ Expenses	Total
1	PPE Accounts	65,993,334.79			65,993,334.79
2	Real Property Tax Receivable	25,162,313.45			25,162,313.45
3	Special Education Tax Receivable	25,162,313.45			25,162,313.45
4	Grants and Donations in Kind			16,681,179.91	16,681,179.91
5	Receipt from Market Operation			4,222,495.23	4,222,495.23
6	Construction in Progress (CIP) – Infrastructure Assets	2,091,832.59			2,091,832.59
7	Trust Liabilities - LDRRMF		2,043,808.38		2,043,808.38
8	Other Receivables	998,116.45			998,116.45
9	Deferred Real Property Tax		920,436.38		920,436.38
9	Deferred Special Education Fund Tax		920,436.37		920,436.37
10	CIP - Building & Other Structures	667,810.50			667,810.50
11	Depreciation Expenses			300,714.56	300,714.56
12	Cash – Local Treasury	89,179.50			89,179.50
13	Accounts Payable	41,164.64			41,164.64
14	Bail Bonds Payable		40,000.00		40,000.00
15	Bank Charges			30,000.00	30,000.00
	Total	**120,164,900.73**	**3,884,681.13**	**21,204,389.70**	**145,365,136.20**

As a result, the following accounts in the financial statements of the Municipality of Baggao were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Other Land Improvements		277,147.00	6
Road Networks		87,712.00	6
Sewer Systems		5,323,232.75	6
Water Supply Systems		2,796,921.16	6
Power Supply Systems		901,231.00	6
Other Infrastructure Assets		45,279,319.56	6
Markets		246,607.00	6
Other Structures		11,081,164.32	6
Other Public Infrastructure	12,054,020.32		6
Other Structure	87,712.00		6
School Buildings	499,620.00		6
Other Land Improvement	7,554,429.94		6
Road Network	45,797,552.53		6
Real Property Tax (RPT) Receivable	25,162,313.45		9
Special Education Tax (SET) Receivable	25,162,313.45		9
Deferred RPT	26,082,749.83		9, 5
Deferred SET	26,082,749.82		9, 5
Grants and Donations in Kind	16,681,179.91		8
Drugs and Medicines Expense	15,111,153.45		8
Drugs and Medicines for Distribution	1,570,026.46		8
Receipt from Market Operation	4,222,495.23		11
Rent Income		4,303,401.80	11
Operating Lease Receivables	769,829.62		11
Other Receivables	1,848,852.64		11
Construction in Progress (CIP) – Infrastructure Assets		900,031.99	4
CIP - Building & Other Structures		243,575.50	4
Road Network	1,495,932.29		4
Building	150,693.00		4
Other Structure	305,000.00		4
Depreciation Expenses	148,667.22		4
Accumulated Depreciation - Road Network	284,227.14		4
Accumulated Depreciation - Other Structure	2,414.58		4
Accumulated Depreciation - Building	14,072.84		4
Trust Liabilities - LDRRMF		2,043,808.38	
Prior Period Adjustment	2,195,855.72		4,5,13
RPT	920,436.38		5
SET	920,436.37		5

Account	Understatement	Overstatement	Observation
Cash in Bank - Local Currency Current Account	41,164.64		2
Accounts Payable	750,922.44		2
Cash – Local Treasury	89,179.50		3,4
Cash in Bank - Local Currency Current Account		79,179.50	3
Bank Charges	30,000.00		3
Bail Bonds Payable	40,000.00		7

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. The Cash in Bank account maintained for the Trust Fund-LDRRMF amounting to P37,551,658.35 is not reconciled with the total reported balance of the Trust Liabilities- LDRRMF in the amount of P45,561,717.70

   We recommended that Management transfer of Unspent LDRRMF MOOE and QRF from General Fund to Trust Fund should be back-up by cash to ensure that the Trust Liabilities-LDRRMF and Cash in Bank – LDRRMF account balances are fairly presented in the Financial Statement.

2. Out of the P25,392,600.00 BLGF – approved collection target for the Real Property Tax (RPT) and Special Education Tax (SET) in CY 2022 for the Municipality, only P5,201,755.86 or 20.49% was collected leaving an uncollected amount of P20,190,844.14 or 79.51%.

   We recommended that Management instruct the Municipal Treasurer to improve further its collection efficiency in order to meet or even exceed the BLGF – approved estimates or targets.

3. Out of the 29 projects funded from of the 20% Development Fund for calendar year 2022, 14 were not implemented as of December 31, 2022,

   We recommended that Management immediately address the causes of delay and henceforth, ensure that the development projects to be funded out of the 20% DF are carefully planned and procurement and implementation ready, in order to maximize the utilization of the projects in achieving its socio-economic developments and environmental outcomes of the Municipality.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report is summarized as follows:

Implemented		12
Not Implemented	2	
Not Implemented and restated in Part II of this report	3	5
TOTAL		**17**